

Economics Test – 5

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Q1. HYVS in case of green revolution, stands for:

- A. High Yield vary seeds
- B. High Yielding Variety Seeds**
- C. High Yielding Vitcher Soil
- D. Highest Yield Varying Soil

Solution: High Yielding Variety Seeds. The Green Revolution, led by Norman Borlaug, focused on developing High Yielding Variety (HYV) seeds to boost food production. Norman Borlaug is considered the "Father of the Green Revolution" in the world. He was awarded the Nobel Peace Prize in 1970 for his contributions to food security and peace.

Q2. The theme of the Twelfth five year plan of India was

- A. Economic liberalization
- B. Towards Faster and More Inclusive Growth
- C. Growth with social justice and equality
- D. Faster, Sustainable, and More Inclusive Growth**

Solution: The 12th Five-Year Plan (2012–17) of the Government of India was the country's last Five-Year Plan. The theme of the Eleventh Plan (2007–2012) was "Towards Faster & More Inclusive Growth," while the Ninth Plan (1997–2002) focused on "Growth With Social Justice & Equality."

Q3. Read the following about Liabilities. A. Liabilities for any firm are its debts or what it owes to others. B. For a bank, the main liability is the deposits which people keep with it. Identify the CORRECT statement/statements.

- A. Both A and B**
- B. Neither A nor B
- C. Only B
- D. Only A

Solution: Both A and B. Liabilities are obligations or debts that an enterprise must settle in the future and represent creditors' claims on the firm's assets. Both small and large businesses often need to borrow money or purchase goods on credit.

Q4. Until 1993–94, the estimation of poverty line in India was based on URP data. What is the full form of 'URP' ?

- A. Uniform Research Period
- B. Usual Reference Period
- C. Uniform Reference Period**
- D. Usual Research Period

Solution: Uniform Reference Period: Upto 1993–94, the poverty line was based on URP data, which involved asking people about their consumption expenditure over a 30-day recall period. From 1999–2000 onwards, the NSSO switched to an Mixed Reference Period (MRP) method which measures consumption of five low-frequency items (clothing, footwear, durables, education and institutional health expenditure) over the previous year, and all other items over the previous 30 days.

Q5. In India, there are how many steel-manufacturing Central

Public Sector Enterprises (CPSes) under the Ministry of Steel ?

- A. Two**
- B. Five
- C. Four
- D. Three

Solution: Two {Steel Authority of India Limited (SAIL) and Rashtriya Ispat Nigam Limited (RINL)}. SAIL was incorporated on January 24, 1973 to manage the five integrated steel plants at Bhilai, Bokaro, Durgapur, Rourkela and Burnpur, the Alloy Steel Plant and the Salem Steel Plant. Headquarters - New Delhi. RINL, the corporate entity of Visakhapatnam Steel Plant, is a Navaratna PSE under the Ministry of Steel. Headquarters - Visakhapatnam.

Q6. _____ is called buying and selling of bonds issued by the government.

- A. closed market operations
- B. moral pressure
- C. Marginal need
- D. Open market activities**

Solution: Open market activities. Open Market Operations (OMOs) are conducted by the Reserve Bank of India (RBI) through the sale and purchase of government securities in the market. The primary objective is to manage and adjust rupee liquidity conditions in the market on a long-term basis. OMOs is one of the quantitative monetary policy tools.

Q7. Based on the recommendations of the Saxena Committee, in the year _____, the Ministry of Rural Development under the Government of India launched the Socio-Economic and Caste Census (SECC).

- A. 2009
- B. 2005
- C. 2014
- D. 2011**

Solution: 2011. The Socio-Economic and Caste Census (SECC) of 2011 was the first caste-based census since the 1931 Census of India. It was launched on 29 June 2011 from Sankhola village in the Hazemara block of West Tripura district. It was also the first paperless census in India, conducted across 640 districts.

Q8. In the year _____, the Planning Commission was established under the chairmanship of the Prime Minister.

- A. 1970
- B. 1850
- C. 1890
- D. 1950**

Solution: 1950 . The Planning Commission was established in March 1950 to improve living standards by utilizing resources, increasing production, and creating employment. It was replaced by NITI Aayog, founded on 1 January, 2015.

Q9. The _____ of a firm during a year $\equiv$ production of the firm during the year – sale of the firm during the year.

- A. opening stock
- B. change in inventories and working capitals
- C. closing stock

D. change of inventories

Solution: change of inventories. The stock of unsold finished goods, or semi-finished goods, or raw materials which a firm carries from one year to the next is called inventory. Inventory is a stock variable.

Q10. In the first phase of the Green Revolution, which states primarily benefited from the use of HYV seeds?

- A. Punjab, Uttar Pradesh and Bihar
- B. Rajasthan, Gujarat and Maharashtra
- C. Tamil Nadu, Kerala and Karnataka

D. Punjab, Andhra Pradesh, and Tamil Nadu

Solution: Punjab, Andhra Pradesh, and Tamil Nadu. During the first phase of the Green Revolution in India (1966-1980), the states that primarily benefited from the use of High-Yielding Variety (HYV) seeds were: Punjab: Known as the "breadbasket" of India, Punjab was the leading state in adopting HYV wheat seeds, leading to a significant increase in wheat production. Andhra Pradesh: This state was a pioneer in adopting HYV rice seeds, resulting in a substantial increase in rice production. Tamil Nadu: Tamil Nadu also benefited significantly from the adoption of HYV rice seeds, leading to increased rice production and food security.

Q11. Which of the following white papers, released by NITI Aayog, is related to Public Health Surveillance in India?

A. Vision 2035

- B. Mission Karmayogi
- C. Dhruv Mission
- D. Arogya Mission

Solution: Vision 2035. The white paper suggests using individual electronic health records as the basis for surveillance. Vision 2035 plan includes technology roadmaps for 12 sectors, such as education, healthcare, food and agriculture, and energy. Mission Karmayogi is a program that aims to create a competent civil service in India that can deliver effective public service. The Pradhan Mantri Innovative Learning Programme (DHRUV) goal is to identify and encourage talented children to develop their skills and knowledge.

Q12. Which sector of the economy focuses on intellectual activities and innovation?

- A. Primary Sector
- B. Secondary Sector
- C. Unorganised Sector

D. Quaternary Sector

Solution: Quaternary Sector of the economy is sometimes called the knowledge economy. Quaternary activities involve the collection, production, dissemination, and processing of information. Quaternary activities centre around research, development and may be seen as an advanced form of services involving specialised knowledge and technical skills.

Q13. Which of the following is the time period of the Sixth five year plan?

- A. 1974-1979

B. 1980-1985

- C. 1992-1997
- D. 1985-1990

Solution: 1980-1985. Sixth five year plan : Target Growth rate - 5.2% and Actual Growth rate - 5.7%. Aim: To boost national income, modernize technology, reduce poverty and unemployment through skill development schemes, rural employment programs and manage population growth.

Q14. _____ is an asset that the borrower owns (such as land, buildings, vehicles, livestock, bank deposits) and uses as a guarantee to the lender until the loan is repaid.

- A. Liabilities

B. Collateral

- C. loan
- D. Fixed assets

Solution: Collateral . Every loan agreement specifies an interest rate that the borrower must pay to the lender along with the repayment of the principal. Additionally, lenders may require collateral (security) against loans. If the borrower fails to repay the loan, the lender has the right to sell the asset or collateral to recover the payment. Liabilities are obligations or debts that an enterprise has to pay at some time in the future.

Q15. In which year did the Government of India pass the Mahatma Gandhi National Rural Employment Guarantee Act?

- A. 2003
- B. 1999
- C. 2005**
- D. 2001

Solution: 2005. MGNREGA guarantees the "right to work" to rural citizens of India. Under this, the government assures a minimum of 100 days of unskilled manual work to an adult member of an eligible rural household. If the government fails in its duty to provide employment, it will give unemployment allowances to the people.

Q16. Which of the following five-year plan of India has achieved its target growth?

- A. Ninth Plan
- B. Tenth Plan
- C. Eleventh Plan

D. Eighth Plan

Solution: The Eighth Five-Year Plan (1992-97) had a targeted growth rate of 5.6%, but the actual achievement was around 6.8%. The Ninth Plan (1997-2002) focused on 'Growth with Social Justice and Equality,' with a target growth rate of 6.5%. The actual growth rate was 5.4%. The Tenth Plan (2002-2007) set 'monitorable targets' for a few key indicators (11) of development, alongside an 8% growth target. The actual growth rate was 7.6%.

Q17. Which state has introduced an upgraded version of its poverty alleviation scheme called Orunodoi 2.0?

- A. West Bengal
- B. Assam**
- C. Kerala
- D. Madhya Pradesh

Solution: Assam . 'Orunodoi' or Arunodoi Scheme is a major

poverty alleviation programme that was launched by the Government of Assam on 2nd October 2020.

Q18. What types of activities are generally carried out in the secondary sector?

- A. Extraction of natural resources
- B. To prepare refined products from raw materials**
- C. Growing crops and raising livestock
- D. Providing support services to industries

Solution: The secondary sector encompasses activities where natural products are transformed into other forms through manufacturing processes typically associated with industrial activity. For example, using sugarcane as a raw material, we produce sugar or gur. Primary sector activities include the extraction of natural resources and the growing of crops and raising of livestock. Tertiary sector activities support the development of the primary and secondary sectors. Examples include transport, storage, communication, banking, and trade.

Q19. The share of the industrial sector in gross domestic product (GDP) increased from 11.8 percent in 1950–51 to _____ percent in 1990–91.

- A. 22.6
- B. 20.6
- C. 26.6
- D. 24.6**

Solution: 24.6. The contribution of the sectors during 1950–91: Agriculture sector – 59.0% in 1950–51 and 34.9% in 1990–91. Industry sector – 13.0% in 1950–51 and 24.6% in 1990–91. Services sector – 28.0% in 1950–51 and 40.5% in 1990–91.

Q20. What is the main objective of zero-based budgeting?

- A. To assess the effectiveness of each programme and activity with the output
- B. Establishing a relationship between inputs and outputs
- C. Examining the objectives for which funds are provided
- D. Re-evaluation of all the activities every year when budget provisions are made**

Solution: Zero Base Budgeting (ZBB) in India first experimented in April 1987. The three types of budgets in India are: Balanced – When the estimated revenue for a fiscal year is equal to the estimated spending for that year. Surplus – When the estimated revenue exceeds the estimated expenditure in a fiscal year. Deficit – when the estimated expenditure exceeds the estimated revenue in a fiscal year.

Q21. Which of the following statements is correct regarding measures of money supply ? I. M1 and M2 are known as narrow money. II. M3 and M4 are known as broad money.

- A. Only I
- B. Both I and II**
- C. Neither I nor II
- D. Only II

Solution: Both I and II. These gradations are in decreasing order of liquidity. M1 is most liquid and easiest for transactions whereas M4 is least liquid of all. M3 is the most commonly used measure of money supply. It is also known as aggregate monetary resources.

Q22. After the first five-year Plan of India, two subsequent five-year plans were formulated till _____.

- A. 1962
- B. 1963
- C. 1964
- D. 1965**

Solution: 1965. First Five-Year Plan (1951–1956) – This plan was launched under the leadership of Pandit Jawaharlal Nehru. It was based on the Harrod-Domar model. Second Five-Year Plan (1956 – 1961) – This plan is based on P.C Mahalanobis Model.

Q23. In the context of a government budget, what does the term "fiscal deficit" represent?

- A. The surplus funds available for public spending
- B. The total government debt
- C. The difference between government revenue and government expenditure**
- D. The portion of the budget allocated for defense spending

Solution: In the context of a government budget, other key terms: Revenue Deficit – It refers to the excess of total revenue expenditure of the government over its total revenue receipts. Primary Deficit – It is defined as fiscal deficit minus interest payments on previous borrowings. Capital expenditure – When government incurs expenditure to create assets such as hospitals, buildings, roads bridges or reduce its liability such as repayment of loan.

Q24. The unemployment rate is calculated as the ratio of _____.

- A. Unemployed workers and labour force**
- B. Employed workers and labour force
- C. Total population and labour force
- D. Total population and unemployed workers

Solution: Unemployed workers and labour force. The unemployment rate is calculated by expressing the number of unemployed persons as a percentage of the total number of persons in the labor force. It is defined as the number of unemployed persons per 1,000 persons in the labor force.
$$\text{Unemployment Rate} = \frac{\text{Number of Unemployed People}}{\text{Total Number in the labour force}} \times 100$$

Q25. Due to the _____ Revolution, India became self-sufficient in food grains and had sufficient reserves in its central pool, so much so that at one point, India was in a position to export food grains.

- A. white
- B. green**
- C. oil
- D. industrial

Solution: green. The Green Revolution resulted in a great increase in production of food grains (especially wheat and rice) due to the introduction into developing countries of new, high-yielding variety seeds, beginning in the 1960's. Other Agricultural revolution: White revolution is related to operation flood i.e. milk production. Yellow revolution: Oilseed production. Golden fiber revolution: Jute production. Silver revolution: Egg/Poultry production.

Q26. Which body in India is responsible for safeguarding and

promoting the rights of consumers and ensuring consumer protection?

- A. National Commission for Women (NCW)
- B. National Human Rights Commission (NHRC)
- C. Central Bureau of Investigation (CBI)

D. National Consumer Disputes Redressal Commission (NCDRC)

Solution: NCDRC is a quasi-judicial commission in India that was set up in 1988 under the Consumer Protection Act of 1986. Its head office is in New Delhi. The NCDRC is headed by a sitting or retired judge of the Supreme Court of India or a sitting or retired Chief Justice of a High Court.

Q27. Which of the following microfinance units were established in India at the time of independence?

- A. Grameen Model Banks
- B. Rural Cooperatives**
- C. Joint Liability Groups
- D. Self Help Groups

Solution: Rural Cooperatives. At the time of independence, rural cooperatives were established in India as part of the efforts to improve agricultural credit and financial inclusion in rural areas. The Self-Help Group - Bank Linkage Programme was launched by NABARD in 1992-93 to provide financial assistance.

Q28. While calculating Net National Product (NNP), what is subtracted from Gross National Product (GNP)?

- A. Subsidies
- B. Depreciation**
- C. Personal income
- D. Indirect taxes

Solution: Depreciation. Net National Product (NNP) is calculated by subtracting depreciation (the value of wear and tear on the country's capital goods) from Gross National Product (GNP). Depreciation represents the loss in value of capital assets due to use and obsolescence. $NNP = GNP - \text{Depreciation}$.

Q29. Read the following statements related to Revenue Receipts. A. Revenue receipts are those receipts which cannot be claimed from the government. B. Revenue receipts are divided into tax and non-tax revenue. Identify the correct statement(s).

- A. Both A and B**
- B. Only A
- C. Neither A nor B
- D. Only B

Solution: Both A and B. Revenue receipts are the funds received by the government that neither create liabilities nor result in a reduction of government or public assets. These receipts are regular, recurring, and arise from the government's normal course of operations. Capital receipts, on the other hand, are the receipts of the government that either create liability or cause a reduction in the assets of the government, e.g., borrowings, recovery of loans, and disinvestments.

Q30. In India, child dependency ratio is a measure of the number of dependents under the age of _____ years.

- A. 0 to 16
- B. 0 to 18
- C. 0 to 14**
- D. 0 to 21

Solution: 0 to 14. The child dependency ratio is a demographic indicator that measures the number of children aged 0-14 per 100 people aged 15-64. The dependency ratio is a measure comparing the portion of a population which is composed of dependents (i.e., elderly people who are too old to work, and children who are too young to work) with the portion that is in the working age group, generally defined as 15 to 64 years. The dependency ratio is equal to the population below 15 or above 64, divided by population in the 15-64 age group; the ratio is usually expressed as a percentage.

Q31. Who amongst the following stated the Grameen model of microfinance?

- A. Prof. Abhijit Banerjee
- B. Prof. Muhammad Yunus**
- C. Prof. Amartya Sen
- D. Dr. Manmohan Singh

Solution: Prof. Muhammad Yunus, a Bangladeshi social entrepreneur, is the pioneer of the Grameen model of microfinance. This model focuses on providing small loans to the impoverished, especially women, without requiring collateral. He founded the Grameen Bank in 1983, which played a crucial role in alleviating poverty through micro-credit. His efforts earned him the Nobel Peace Prize in 2006.

Q32. Which crops were primarily involved in the Green Revolution in India through the use of high-yielding variety (HYV) seeds?

- A. Fruits and vegetables
- B. Wheat and rice**
- C. Cotton and jute
- D. Pulses and oilseeds

Solution: Wheat and rice. The Green Revolution in India started in the 1960s with the aim of increasing India's agricultural production to make India self-sufficient in food grains. Indira Gandhi released a special stamp entitled 'Wheat Revolution' in July 1968. The Wheat Revolution (Green Revolution) was initiated under the Third Five Year Plan (1961-66) by introducing high-yielding varieties of rice and wheat. Father of the Green Revolution in India - M S Swaminathan.

Q33. Which of the following is NOT included in the three main dimensions of the New Industrial Policy, 1991, announced by the Government of India?

- A. Liberalisation
- B. Privatisation
- C. Globalisation
- D. Urbanisation**

Solution: Urbanisation. The New Industrial Policy of 1991 announced by the Government of India focused on three main dimensions - Liberalisation: Reduced government control over industries, eased restrictions, and allowed more freedom to businesses. Privatisation: Encouraged private ownership and management, reducing the public sector's role in industries. Globalisation: Promoted international trade,

investment, and cooperation with global markets.

Q34. The objective of which of the following five-year plans is 'establishment of a self-reliant and self-productive economy'?

- A. sixth
- B. first
- C. third**
- D. fifth

Solution: Third : This Five-Year Plan (1961–1966), also known as the Gadgil Yojana after D. R. Gadgil, aimed for a 5.6% growth but achieved only 2.8%. It failed to meet targets due to unforeseen events like the Chinese aggression (1962), Indo-Pak war (1965), and the severe drought of 1965–66.

Q35. Which of the following is the time period of the Tenth Five Year Plan?

- A. 2007–2012
- B. 1997–2002
- C. 2002–2007**
- D. 2012–2017

Solution: 2002–2007. The Tenth Five-Year Plan (FYP) set 'monitorable targets' for a few key indicators (11) of development, alongside an 8% growth target. The actual growth was 7.6%. The Eleventh Plan (2007–2012) aimed 'Towards Faster and More Inclusive Growth' with a target growth of 9%, but the actual growth was 8%. The Twelfth FYP (2012–2017) adopted the slogan 'Faster, Sustainable, and More Inclusive Growth'.

Q36. The MRTP Act of 1969 aimed at:

- A. Promoting monopolies in key industries
- B. Promoting free trade agreements
- C. Regulating and controlling monopolistic and restrictive trade practices**
- D. Encouraging foreign direct investment

Solution: The Monopolies and Restrictive Trade Practices Act, 1969 (MRTP Act) was repealed and replaced by the Competition Act, 2002, on the recommendations of the Raghavan committee. Competition Commission of India (CCI) is a statutory body of the Government of India responsible for enforcing the Competition Act, 2002. It was duly constituted in March 2009.

Q37. How is the poverty line in India typically determined?

- A. Access to healthcare facilities
- B. Religious affiliation
- C. Levels of income and consumption**
- D. Quality of education

Solution: Levels of income and consumption. If income or consumption falls below a certain minimum threshold, the household is classified as Below the Poverty Line (BPL). In India, poverty estimation is conducted by NITI Aayog's task force, which calculates the poverty line based on data from the National Sample Survey Office under the Ministry of Statistics and Programme Implementation (MOSPI).

Q38. With respect to trade and industry, what is 'SCOMET'?

- A. New special economic zone

B. Portal to list manufacturing items in e-market

C. India's National Export Control List

D. Framework for new trade policy in India

Solution: India's National Export Control List. SCOMET stands for Special Chemicals, Organisms, Materials, Equipment, and Technologies. It's a list of dual-use items regulated by the Government of India for export control purposes. The SCOMET list includes various categories of goods, technologies, chemicals, and organisms that have both civilian and military applications.

Q39. What is the full form of the term "CRR" in the context of Indian banking?

- A. Cash Reserve Ratio**
- B. Capital Recovery Rate
- C. Consumer Rights and Responsibilities
- D. Credit Rating Regulation

Solution: Cash Reserve Ratio: It is a monetary policy tool used by the central bank, such as the Reserve Bank of India, to regulate the money supply in the economy. It requires commercial banks to keep a specific percentage of their deposits as reserves with the central bank.

Q40. Which one is not the cause of Poverty?

- A. Low level of productivity
- B. Slow growth of population**
- C. Underdeveloped nature of economy
- D. State Policies

Solution: Slow growth of population. Rural poverty often stems from limited access to markets, education, quality infrastructure, employment opportunities, health, and financial products. Causes of urban poverty are Large Scale of Rural-Urban Migration, Lack of Skills, Indebtedness, Inflation, etc.

Q41. According to the National Sample Survey Office (NSSO), the unemployment rate for people aged 15 years and above in urban areas declined to ____ percent during January–March 2023, from 8.2 percent a year ago.

- A. 5.1%
- B. 9.2%
- C. 6.8%**
- D. 2.4%

Solution: 6.8%. The National Sample Survey Office (NSSO) is responsible for conducting large-scale sample surveys on an all-India basis. The NSSO was integrated with the Central Statistical Office (CSO), and together they now form the National Statistical Office (NSO). The Ministry of Statistics and Programme Implementation serves as the nodal agency for all statistical activities at the All-India level.

Q42. The planned economic development in India began in which of the following years ?

- A. 1991
- B. 1961
- C. 1951**
- D. 1978

Solution: 1951. Planning Commission were established to formulate, implement and regulate Five Year Plans. The First

Five-Year Plan, launched from 1951 to 1956 under the leadership of Jawaharlal Nehru, was based on the Harrod-Domar model.

Q43. Due to the failure of the third plan i.e. devaluation of the rupee (to promote exports) as well as recession of inflation, the fourth FYP was postponed and hence ____ annual plans were introduced in its place.

- A. two
- B. three**
- C. four
- D. one

Solution: three . During the period of 1966-69, known as the 'Plan holiday,' three Annual Plans were implemented instead of a single Five-Year Plan. During these plans, a new agricultural strategy was introduced, involving the widespread distribution of high-yielding varieties of seeds, extensive use of fertilizers, exploitation of irrigation potential, and soil conservation.

Q44. Who was the father of the green revolution in India?

- A. C Subramanian
- B. MS Swaminathan**
- C. Panduranga Hegde
- D. Sunderlal Bahuguna

Solution: MS Swaminathan. His awards: Bharat Ratna (2024), Padma Vibhushan (1989), Padma Bhushan (1972) and Padma Shri (1967).

Q45. The establishment of the Industrial Development Bank of India in 1964 was an important step towards which of the following objectives?

- A. Promotion of heavy industries**
- B. To encourage small scale industries
- C. Supporting agricultural cooperatives
- D. Providing housing loans

Solution: Promotion of heavy industries. The IDBI Bank is a Scheduled Commercial Bank under the ownership of Life Insurance Corporation of India (49.24%) and Government of India (45.5%). The bank was founded on 1 July 1964, and its headquarters are in Mumbai, Maharashtra.

Q46. What is the function of the Reserve Bank of India (RBI), with respect to monetary policy?

- A. Issuing currency notes**
- B. Regulating foreign trade
- C. Managing fiscal policy
- D. Collecting income taxes

Solution: Issuing currency notes. RBI (Reserve Bank of India) : Establishment - 1st April 1935, Headquarter - Mumbai. Functions of RBI : It implements and monitors the monetary policy and ensures price stability, Manager of Foreign Exchange, Issuer of Currency, Financial Inclusion. 1st Governor - Sir Osborn Smith. 1st Indian Governor - C.D. Deshmukh.

Q47. Who amongst the following said that the government fiscal policy should be used to stabilise the level of output and employment?

- A. Lionel Charles Robbins

- B. Alfred Marshall
- C. Adam Smith
- D. JM Keynes**

Solution: JM Keynes believed that governments should intervene in the economy through increased spending and tax cuts to stimulate demand, counteract recessions, and promote full employment. Alfred Marshall defined economics as the study of man in the ordinary business of life. Marshall argued that the subject was both the study of wealth and the study of mankind. Adam Smith defined economics as the "science of wealth."

Q48. A 5% decrease in poverty by 2007 was one of the main objectives of the _____ plan.

- A. Seventh Five-Year Plan (1985-90)
- B. Ninth Five-Year Plan (1997-2002)
- C. Fourth Five-Year Plan (1966-1974)

D. Tenth Year Plan (2002-2007)

Solution: Tenth Year Plan (2002-2007) : Target Growth rate 8 % and Actual Growth rate 7.6 %. Seventh five year plan (1985 - 90) : Target Growth rate 5.0% and Actual Growth rate 6.0%. Ninth five year plan (1997- 2002) : Target Growth rate 6.5% and Actual Growth rate 5.4%. The Ninth Plan was prepared under the United Front Government focussed on "Growth With Social Justice & Equality.

Q49. Read the following about the Green Revolution in India. A. The revolution was launched to address India's hunger crisis during the second Five Year Plan. B. The long term objectives included overall agriculture modernization based on rural development, industrial development; infrastructure, raw material etc. Identify the CORRECT statement/statements.

- A. Both A and B**
- B. Neither A nor B
- C. Only A
- D. Only B

Solution: Both A and B. Green revolution was introduced in the Third five-year plan (1961-66). The Green Revolution was an endeavour initiated by Norman Borlaug in the 1960s. He is known as the 'Father of Green Revolution' in world. In India, the Green Revolution was mainly led by M.S. Swaminathan.

Q50. What is Gross Domestic Product (GDP) in the context of National Income Accounting?

- A. The total exports of a country
- B. The total savings of a nation
- C. The total value of all goods and services produced within a country's borders in a specific period**
- D. The total income of a country's government

Solution: Gross Domestic Product (GDP) of a country is the value of all final goods and services produced within a country during a particular year. National Income Accounting is a system used by countries to measure and assess the overall economic activity and performance of an economy.

Q51. A fall in the bank rate can _____ the money supply.

- A. decrease
- B. not impact
- C. equalize
- D. increase**

Solution: increase. The Reserve Bank of India (RBI) can influence money supply by changing the rate at which it gives loans to the commercial banks. By increasing the bank rate, loans taken by commercial banks become more expensive; this reduces the reserves held by the commercial bank and hence decreases money supply.

Q52. Which of the following five year plan of India aimed at accelerating food grain production, increasing employment opportunities & raising productivity with focus on 'food, work & productivity'?

- A. Sixth Five year Plan
- B. Seventh Five year Plan**
- C. Eighth Five year Plan
- D. Ninth Five year Plan

Solution: Seventh Five Year Plan (1985-90) was very successful, as the economy recorded a 6.01% growth rate against the targeted 5%. The Eighth Five Year Plan (1992-97) was postponed by two years due to political uncertainty at the Centre, and the years 1990-91 and 1991-92 were treated as Annual Plans. The Ninth Five Year Plan (1997-2002) focused on 'Growth with Social Justice & Equality.'

Q53. Which of the following sectors had the largest percentage of workforce in urban India in the year 2019-2020 ?

- A. Agriculture
- B. Industry
- C. Service**
- D. Mining

Solution: Service. The service sector is a major contributor to the economic activity of cosmopolitan cities like Delhi, Mumbai, and Kolkata. Some other employment trends in India : Self-employment - The share of self-employed is higher among females (56.3%) than males (52.4%). Regular wage/salary employment - Urban females (54.2%) and urban males (47.2%). Labor force participation rate - The labor force participation rate for males increased from 55.6% in 2018-19 to 57.5% in 2020-21. The labor force participation rate for females increased from 18.6% in 2018-19 to 25.1% in 2020-21.

Q54. In India, the Green Revolution was mainly led by _____.

- A. John Norman
- B. M.S. Swaminathan**
- C. M. D. Swami
- D. Radhakrishnan

Solution: M.S. Swaminathan. The Green Revolution was an initiative led by Norman Borlaug in the 1960s. He is known as the 'Father of Green Revolution' in world. The Green Revolution led to a significant increase in the production of food grains (especially wheat and rice) due to the introduction of new, high-yielding variety seeds in developing countries.

Q55. What is the primary purpose of a government budget in a country's economy?

- A. Finding Inflation Rate
- B. Promoting international trade
- C. Allocating resources efficiently**
- D. Finding the Gross Domestic Product

Solution: Allocating resources efficiently. The objectives of the government budget include Economic growth, reallocation of resources, Redistribution of income, Financial stability, Addressing regional disparities, etc., Government budget is an annual financial statement of estimated receipts and expenditures of the government during a given financial year, as mentioned in Article 112 of the Indian Constitution. Term "Budget" is not mentioned in the Constitution.

Q56. Which of the following is a public sector industry in India?

- A. Tata Iron and Steel Company (TISCO)
- B. Bajaj
- C. Hindustan Unilever Limited
- D. Steel Authority of India Limited (SAIL)**

Solution: Steel Authority of India Limited (SAIL). SAIL can trace its origins back to the Hindustan Steel Limited (HSL) which was set up on 19 January 1954. SAIL was incorporated on January 24, 1973.

Q57. Which of the following is the reason for unemployment?

- A. Good education system
- B. Large migration to a particular area**
- C. Slow population growth
- D. Fast economic growth

Solution: Large migration to a particular area. Main Causes of Unemployment in India are Population Growth, Lack of Skill Development, Slow Industrial Growth, Agricultural Dependence, Technological Advancements, Economic Disparities, Inadequate Education System, Informal Sector Dominance, and Immobility of labour.

Q58. Based on the Tendulkar committee, the National poverty line was defined as which of the following? i. ₹816 per capita per month for rural areas ii. ₹1,000 per capita per month for urban areas.

- A. Only ii is correct
- B. Both i and ii are correct**
- C. Both i and ii are incorrect
- D. Only i is correct

Solution: Both i and ii are correct. The Tendulkar Committee, formed in 2005, revised India's poverty estimation method, calculating the minimum income needed for basic needs. The urban poverty line was higher due to higher living costs. The poverty line determines eligibility for welfare programs like NREGA and PDS.

Q59. In the first seven Five Year Plans, in India, the business sector was characterised by what is generally called a _____ strategy.

- A. Inward and Outward trade
- B. Interlocked trade
- C. Inward trade**
- D. Outward trade

Solution: Inward trade : Technically, this strategy is called import substitution. This policy aimed at replacing or substituting imports with domestic production. For example, instead of importing vehicles made in a foreign country, industries would be encouraged to produce them in India

itself. In this policy the government protected the domestic industries from foreign competition.

Q60. Read the following statements related to a balanced budget. A. The government can spend an amount equal to the accumulated income. This is called a balanced Budget. B. If more needs to be spent, the amount will have to be received through taxes to balance the budget. Identify the correct statement(s).

- A. Both A and B
- B. Only B
- C. Only A
- D. Neither A nor B

Solution: Both A and B. A balanced budget means that the government's revenues equal its expenditures in a specific period. If the government needs to spend more, it can either increase revenue through taxes or other means, run a deficit, or use its accumulated surpluses (if any).

Q61. The Government _____ is a statement of expected receipts and expected expenditures of the Government (for the coming fiscal year) that reveals the budgetary policy of the Government to achieve the twin objective of growth and stability.

- A. Policy
- B. Revenue
- C. Plan
- D. Budget

Solution: Budget. The term 'Budget' is not mentioned in the constitution. As per Article 112 of the Constitution of India, the Union Budget of a fiscal year refers to the annual financial statement of the Union Government for that particular fiscal year. The union budget is prepared by the Department of Economic Affairs (DEA), the Ministry of Finance and is presented to the Parliament for discussion and approval.

Q62. The "Licence Raj" refers to a system of _____ in India in the mid-20th century.

- A. Export promotion
- B. Trade associations
- C. Industrial licensing
- D. Import restrictions

Solution: Industrial licensing. The "Licence Raj" refers to a system of industrial licensing that existed in India from the late 1950s until economic reforms began in 1991.

Q63. Read the following about the Green Revolution in India. A. The Green Revolution in India is largely the Wheat Revolution as the wheat production increased by more than three times between 1967-68 and 2003-04, while the overall increase in the production of cereals was only two times B. It resulted in a grain output of 131 million tonnes in the year 1978-79 and established India as one of the world's biggest agricultural producers. Identify the CORRECT statement/statements.

- A. Neither A nor B
- B. Only B
- C. Only A
- D. Both A and B

Solution: Both A and B. The green revolution in India refers to a

period when Indian Agriculture was converted into an industrial system due to the adoption of modern methods and technology such as the use of HYV seeds, tractors, irrigation facilities, pesticides and fertilizers. In India, the Green Revolution was mainly led by M.S. Swaminathan.

Q64. The first five year plan of India was based on _____.

- A. Mahalanobis Plan
- B. Harrod-Domar Model
- C. Nehru Model
- D. Gadgil Yojna

Solution: Harrod-Domar Model. First Five Year Plan (1951 - 56) focussed on agriculture, price stability, power and transport. Target Growth : 2.1 %. Actual Growth : 3.6 %. Second Plan (1956 - 61) : It was based on Mahalanobis Plan. Fourth Five-Year Plan (1969-74) : It was based on Gadgil Formula.

Q65. What is Statutory Liquidity Ratio (SLR)?

- A. It's the percentage of deposits that banks must keep in liquid form in the short term
- B. It's the interest rate at which banks borrow from the central bank
- C. It's the ratio of government bonds to total assets held by a bank
- D. It's the ratio of a bank's capital to its total assets

Solution: Statutory Liquidity Ratio. Other economics terms: Cash Reserve Ratio (CRR) - The fraction of their deposits which the commercial banks are required to keep with RBI. Currency deposit ratio - The ratio of money held by the public in currency to that held as deposits in commercial banks. Reserve deposit ratio - The fraction of their total deposits which commercial banks keep as reserves.

Q66. Which of the following is an example of White Goods?

- A. Air Conditioners and LED Lights
- B. Pharmacy products
- C. Imported items
- D. Agricultural equipment

Solution: Air Conditioners and LED Lights. White goods refer to heavy consumer durables or large home appliances, which were traditionally available only in white. The white goods industry consists of refrigerators, washing machines and dryers, dishwashers, etc.

Q67. What are the three components of the empowerment model in SAPAP of SHGs?

- A. Collective empowerment, capital formation, and poverty eradication
- B. Public resource allocation, capacity building, and microfinance
- C. Social mobilisation, capital formation, and capacity building
- D. Social mobilisation, economic development, and education

Solution: In the SAPAP (Support to Training and Employment Programme for Women) of Self-Help Groups (SHGs), the three components of the empowerment model are: Social Mobilisation - Encouraging people, particularly women, to come together and form groups. Capital Formation - Building savings and financial resources within the groups. Capacity

Building – Providing training and enhancing skills for better economic participation.

Q68. The _____ five year plan of India could not take off in 1990 due to the fast changing political situation at the Centre.

- A. Eighth**
- B. Sixth
- C. Ninth
- D. Seventh

Solution: Eighth Five Year Plan (1992–97) : India embraced globalization and became a member of the World Trade Organisation on 1 January 1995. The objective was the modernization of the industrial sector. The Pradhan Mantri Rojgar Yojana was launched during this plan. The Five-Year Plans were formulated, implemented, and regulated by a body known as the Planning Commission (formed on March 15, 1950, and replaced by the think tank NITI Aayog in 2015).

Q69. Identify the primary characteristic of the Cooperative Development Foundation (CDF) model of SHGs regarding its focus on membership from the following.

- A. It exclusively targets poor members.
- B. It excludes women from membership.
- C. It includes both poor and non-poor members.**
- D. It exclusively targets non-poor members.

Solution: It includes both poor and non-poor members. A Self-Help Group (SHG) is a community-based group of 10–25 members, usually women from similar social and economic backgrounds, who come together to save small sums regularly. There are three SHG models: Cooperative Development Foundation (CDF), Development of Women and Children in Rural Areas (DWCRA), and South Asia Poverty Alleviation Programme (SAPAP).

Q70. Economists call unemployment prevailing in Indian farms as _____ unemployment.

- A. open
- B. closed
- C. disguised**
- D. frictional

Solution: disguised. It is also known as hidden unemployment that refers to a situation where people are employed in a sector, such as agriculture, but their contribution to output is less than their labor input. In other words, they are not fully utilized or productive. Open Unemployment: Visible unemployment, where people are idle due to lack of opportunities. Frictional Unemployment : Temporary unemployment while searching for a new job after leaving a previous one.

Q71. The Sixth Economic Census of India was conducted in which of the following years?

- A. 2017
- B. 2009
- C. 2019
- D. 2013**

Solution: 2013 . The Government of India launched the first-

ever Economic Census in the country in 1977. The second Economic Census was conducted in 1980, followed by the third in 1990, the fourth in 1998, the fifth in 2005, and the seventh in 2019.

Q72. If the tax rate increases with the taxable base, then this type of taxation is called:

- A. digressive
- B. progressive**
- C. regressive
- D. proportional

Solution: progressive. In other words, higher income earners are taxed at a higher rate than lower income earners. Regressive taxation: It is a tax where the rate of taxation decreases as the income increases. Proportional taxation: A system where the tax rate remains constant, regardless of the taxable base.

Q73. Which of the following statements regarding money is correct? I. Money supply is a stock variable. II. The total stock of money in circulation among the public at a particular point of time is called money supply.

- A. Both I and II**
- B. Only II
- C. Only I
- D. Neither I nor II

Solution: Both I and II. Four alternative measures of money supply: M1, M2, M3 and M4. M1 = Currency + Demand deposits with the banking system. M2 = M1 + Savings deposits with Post Office savings banks. M3 = M1 + Net time deposits of commercial banks. M4 = M3 + Total deposits with Post Office savings (excluding National Savings Certificates).

Q74. In which of the following years, NABARD sanctions Action Research Project to MYRADA?

- A. 1981
- B. 1987**
- C. 1985
- D. 1983

Solution: 1987 . NABARD (National Bank for Agriculture and Rural Development) an apex development bank in India that provides credit and other financial services to the rural sector. Established in 1982 under the Parliamentary Act of National Bank for Agriculture and Rural Development Act, 1981 (Sivaraman committee). Headquarter – Mumbai.

Q75. The growth targets for the fourth five-year plan was set with respect to _____.

- A. Net Domestic Product**
- B. Gross Domestic Product
- C. Gross National Product
- D. National Income

Solution: Net Domestic Product. The growth targets for the first three Five-Year Plans were based on National Income. Fourth five year plan (1969 – 74) – Target Growth: 5.7% and Actual Growth: 3.3%. From the Fifth Plan onwards, Gross Domestic Product has been used to set the growth targets.